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Austin-San Marcos Housing Affordability

Over the past decade, rapid population growth and a booming tech sector have placed immense pressure on the Austin-San Marcos housing market. This analysis evaluates the extent of this affordability crisis, utilizing data from Zillow, Redfin, and the City of Austin Open Data Portal to track pricing trends, market inventory, and the spatial distribution of affordable housing.

Three key themes emerged from the data. First, the Austin Metro has hit an "Affordability Wall." Between 2020 and 2023, the income required to afford a median priced home roughly doubled, jumping from approximately $80,000 to over $140,000, severely pricing out median earners. Second, while Austin's absolute home prices peaked drastically higher than neighboring San Marcos, both cities experienced synchronized appreciation. As Austin pushes buyers out, demand spills over down the I-35 corridor, causing proportional inflation in San Marcos.

Third, geospatial analysis reveals severe inequality in the distribution of affordable housing. Rather than being equitably distributed, Austin’s affordable housing is heavily clustered along the eastern I-35 corridor, leaving West and Central Austin as an "affordable housing desert." This spatial inequality is the modern manifestation of the 1928 Austin City Plan, which used redlining and exclusionary zoning to systematically relegate minority and low-income communities to the East side. Decades of underinvestment made East Austin the primary recipient for city-sponsored housing. Today, this legacy yields a compounding crisis: as East

Austin rapidly gentrifies and market-rate prices soar, the vulnerable populations dependent on this concentrated infrastructure are being displaced from their historic centers.

While this analysis provides robust insights, it is limited by the exclusion of federal interest rate impacts, reliance on aggregated metro-level inventory data, and the exclusion of naturally occurring affordable housing (NOAH) from the city dataset. Future iterations of this research must address these gaps to forecast when the required income to afford a home might finally reconverge with actual median wages.